



February 25, 2025

City of Storm Lake
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Honorable Mayor, City Council and Storm Lake Community:

The City Manager's Recommendation FY 2025-20256 Budget is offered for your review and consideration. In order to present a balanced budget, there were significant challenges and cost reductions that are suggested for the Mayor and Council's consideration.

It is evident due to recent legislation that Property Tax reform (HF718) and other forms of fee reductions being considered at the State level that the public has an appetite to have smaller local government. To our community members and State of Iowa- we hear your message.

The budget presented does include recommended program cuts as well a hiring freeze for general fund positions. Priorities for projects and programs were determined by City Council during their annual Strategic Planning session. In addition, the Mayor, City Council and Leadership Team have made a concerted effort to provide our employees market rate compensation packages in order to strive to have the best and most qualified staff. This budget package does include a modest 2.5% pay increase that is expected to be sustainable in the future. We are still in collective bargaining with the Police Department.

The FY 2025-2026 City Manager's Recommended budget is a balanced budget due to moving more capital projects and additional transfer of costs to Local Option Sales Tax and Franchise Fees. By default the City had to move that direction when backfill was removed and significant property rollbacks occurred.

Our current Fiscal Year 2024-2025 is our first year experiencing the revenue ramifications from the new property tax reform. Property taxes cover 100% of our Public Safety, Library, Park systems, Recreation and Outside Agency funding. What HF 718 did is reduce the amount of collected property tax in communities that are growing, such as ours. The revenue reduction, coupled with increased cost for insurance, utilities and equipment has created a situation we are experiencing now.

The General Fund Balance will also be able to remain at 40% which will allow for six (6) months of government operations to continue should we experience a disaster. It is also important to note that our bond rating would suffer if we do not sustain a 40% fund balance.

Utilizing fund balances is not a sustainable solution to the revenue deficit we are experiencing. The Leadership Team made decisions that were long term and able to provide the Mayor, City Council and our community members a stable and sustainable budget.

In order to make that happen the following reductions are recommended with an anticipated budget reduction of \$437,000:

- Hiring freeze will allow for five positions to not be filled \$ 100,000
- Library reduction of hours by 2080 and materials \$ 37,000
- Removal of portable toilets at parks \$25,000
- Removal of kayak/bike rentals \$15,000
- Removal of in-kind economic development such as curb cuts/replacements etc.- varies/yr.
- Removal of derelict building program \$70,000
- Airport budget reduction of \$100,000
- Outdoor Waterpark/Golf Course reduce expenses or increase revenues by 15% \$40,000
- Outside Agency Reductions- \$50,000

These recommended budget reductions do not conflict with the 2025 adopted City Council Goals and Priorities.

- Water & Wastewater
- Economic Development Retail & Restaurants
- Street Resurfacing & Maintenance
- Fire Department modernization and expansion
- Recreation Center
- Housing
- Daycare Center
- Spoil Site Development
- Police Recruitment and Retention

With the exception of the Airport, all departments have committed to the above mentioned reductions. Budget reductions or revenue enhancements will be discussed at the March Airport Commission meeting, however preliminary information shared equates to \$37,000 of revenue generation still leaving the need for \$63,000 budget reduction.

Roughly one-third (1/3) of the total tax bill is the City levy. For the first time in seven (7) years our tax levy increased and proposed to be \$15.17441. This is due to the pre-payment of fire apparatus that added \$0.58217 to the levy this year. This one year increase saved over \$600,000 of tax payer dollars.

We are finally able to refine our benefit levy. It would be a disservice to those in our community if we were not transparent and show the true cost to cost to run local government. This levy does reflect the five (5) positions removed from payroll.

I am proud of the dedicated professionals that encompass our organization and thank you for all of your hard work and dedication to the Mayor, City Council and Community of Storm Lake. It is truly my privilege and pleasure to serve the Mayor, City Council and the community of Storm Lake.

Keri Navratil
City Manager